

CASE STUDY

Title: Balfour Vs. Balfour (1919)

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INTRODUCTION:

- **Case Title:** Balfour v. Balfour
- **Court:** Court of Appeal of England and Wales
- **Judges:** Lord Justice Warrington, Lord Justice Duke, and Lord Justice Atkin
- **Type of Case:** Civil Appeal
- **Kind of Contract:** Domestic Agreement
- **Parties:**
 - **Appellant:** Mr. Balfour
 - **Respondent:** Mrs. Balfour

The case **Balfour v. Balfour (1919)** is a landmark English Contract Law case that established the principle that agreements made between husband and wife in a domestic setting are generally **not legally enforceable** because they lack the intention to create legal relations. This case forms the foundation of the doctrine of intention to create legal relations in contract law.

FACTS OF THE CASE:

Mr. and Mrs. Balfour lived together in Ceylon (now Sri Lanka), where Mr. Balfour worked as a government employee. During a visit to England, Mrs. Balfour became ill and was advised by doctors to remain in England while her husband returned to Ceylon.

Before leaving, Mr. Balfour promised to pay his wife **£30 per month** for her maintenance until she could join him. Initially, he made the payments, but later the relationship deteriorated and the payments stopped.

Mrs. Balfour filed a lawsuit seeking enforcement of her husband's promise. The trial court ruled in her favour, but Mr. Balfour appealed to the Court of Appeal.

LEGAL ISSUES:

1. Whether the agreement between husband and wife constituted a legally enforceable contract.
2. Whether there was an intention to create legal relations.
3. Whether a domestic promise supported by consideration alone is sufficient to form a valid contract.

The main legal issue was whether agreements made in a family or domestic context are intended to have legal consequences and therefore be enforceable by courts.

JUDGEMENT:

The Court of Appeal allowed Mr. Balfour's appeal and held that **no legally enforceable contract existed** between the parties.

The court ruled that agreements made between spouses living together in harmony are presumed to be social or domestic arrangements and are **not intended to create legal relations**. Although Mr. Balfour had promised to pay his wife a monthly allowance, the promise was considered a family arrangement rather than a contractual obligation.

The court concluded that, in the absence of an intention to create legal relations, there was no valid contract and Mrs. Balfour could not enforce the agreement in court.

LEGAL PRINCIPLE:

This case established the principle that **intention to create legal relations** is an essential element of a valid contract.

It also confirmed that:

- Domestic or family agreements are generally presumed **not** to be legally binding.
- Consideration alone does not create a contract unless the parties intended legal consequences.

- Courts normally do not interfere in ordinary family arrangements unless there is clear evidence that the parties intended to create a legal relationship.

BUSINESS RELEVANCE:

This case remains significant because it distinguishes **social agreements** from **commercial contracts**.

Its importance in business law includes:

- It established that intention to create legal relations is an essential element of every valid contract.
- It helps courts distinguish enforceable business agreements from informal social promises.
- Commercial agreements are generally presumed to be legally binding, unlike domestic agreements.
- Businesses should ensure that agreements clearly express legal obligations to avoid disputes.

Relevant provisions under the Indian Contract Act, 1872:

- **Section 2(a):** Defines a proposal (offer).
- **Section 2(b):** Acceptance of a proposal becomes a promise.
- A valid contract requires offer, acceptance, consideration, competency of parties, lawful object, and **intention to create legal relations** (recognized through judicial interpretation).

CONCLUSION:

Balfour v. Balfour (1919) is one of the most important cases in contract law because it established that **not every agreement is a contract**. The case clarified that agreements made in a domestic or family setting are generally not enforceable unless there is clear evidence of an intention to create legal relations.

- It established the doctrine of intention to create legal relations.
- It distinguished domestic agreements from commercial contracts.
- It clarified that family arrangements are usually not legally enforceable.
- It continues to be a leading authority in the law of contracts and is widely cited in courts and legal education.